

THE RDSP, IN PLAIN LANGUAGE

That line on your deposit slip, finally explained.



If you have ever seen the letters **RDSP** show up on your monthly deposit slip and had no idea what they meant, this is for you. It stands for **Registered Disability Savings Plan**, a long-term savings account for people with disabilities, and the government built real money into it. But the rules are written in bureaucratic shorthand and nobody hands you an explanation. So here is the plain version, catches included, because the catches are the part they leave out.

The free money in an RDSP stops at the end of the year you turn 49. Almost nobody tells you that part.

What it really is

- A savings account meant to help you build money for later in life.
- Three things make it different from a regular account: the government can add money to it, the savings grow without being taxed until you take them out, and it does not count against your AISH.

Who can open one

- Anyone approved for the **Disability Tax Credit (DTC)**.
- You can open one up until the end of the year you turn **59**.

The free government money (the whole point)

There are two kinds, and you do not need to be well off to get them. Lower income gets you more, not less.

- The **Bond**: up to **\$1,000 a year**, and you do not have to put in a single dollar of your own to receive it. It is free money for lower-income people, as long as you have filed your taxes.
- The **Grant**: when you put money in, the government matches it, up to **\$3 for every \$1** for lower incomes.

“I saw RDSP on my deposit slip. Does that mean I already have one?”

Not necessarily. Seeing the letters does not mean an account is open and working for you. It may have been a one-time note, or a plan that was started and left empty. The only way to know what you truly have is to ask the bank or institution named on the slip, and to check whether you were ever approved for the Disability Tax Credit, which is the key that unlocks the whole thing.

The catch nobody mentions: age 49

- The Grant and the Bond only come to you up until the **end of the year you turn 49**. After that, no more, ever.
- You can still **open** an RDSP until you are 59, and the tax notice that tells you about it only mentions being under 60. But opening one after 49 means **no grant and no bond**, just a savings account with your own money in it.
- So if you are close to 49 and you qualify, this is urgent. If you are already past 49, the free money has closed, and it is worth knowing that before you open one expecting it.

Putting money in, and taking it out

- You can add your own money any time, up to a lifetime limit. Under 49, the government matches it with the Grant. Past 49, your contributions get no match.
- You must **start** taking money out by the end of the year you turn **60**.
- You can withdraw earlier, but here is the rule people trip on: if you take money out within **10 years** of receiving any Grant or Bond, you pay some of that government money back. If you never received any, there is nothing to pay back.

It does not touch your AISH

- An RDSP is fully exempt. The money in it, and the money you take out of it, does not reduce your AISH. This one is in your favour.

The thing it gets confused with: the “10 years of back payments”

People often hear about claiming ten years of back payments and assume it means the RDSP. Usually it means something different: the **Disability Tax Credit claimed on your past tax returns**. That is a separate door. It is not blocked by the age-49 rule, and it can come back to you as a tax refund for years you paid tax. The RDSP and the back-tax refund are two different things. If back payments are what you are after, that one lives in your taxes, and a free tax clinic can help you with it.

HOW TO EXPLAIN THIS TO SOMEONE ELSE

If someone is staring at RDSP on their slip and feeling lost, here is the short version to hand them. It is a disability savings account. The government adds free money to it, but only up until the year you turn 49. It does not hurt your AISH. And the back-tax refund people talk about is a different thing, that one is in your taxes, not this account. Then point them to the bank named on their slip, or to a free tax clinic.

Who to ask, for free

- The **bank or institution named on your slip**. They hold your plan and can tell you what you truly have.
- The **Canada Disability Savings Program**, through 1-800-O-Canada at **1-800-622-6232**.
- A **free tax clinic** (the Community Volunteer Income Tax Program) for anything to do with the Disability Tax Credit and back-tax refunds.
- And this group. Ask, and we will walk through it with you.